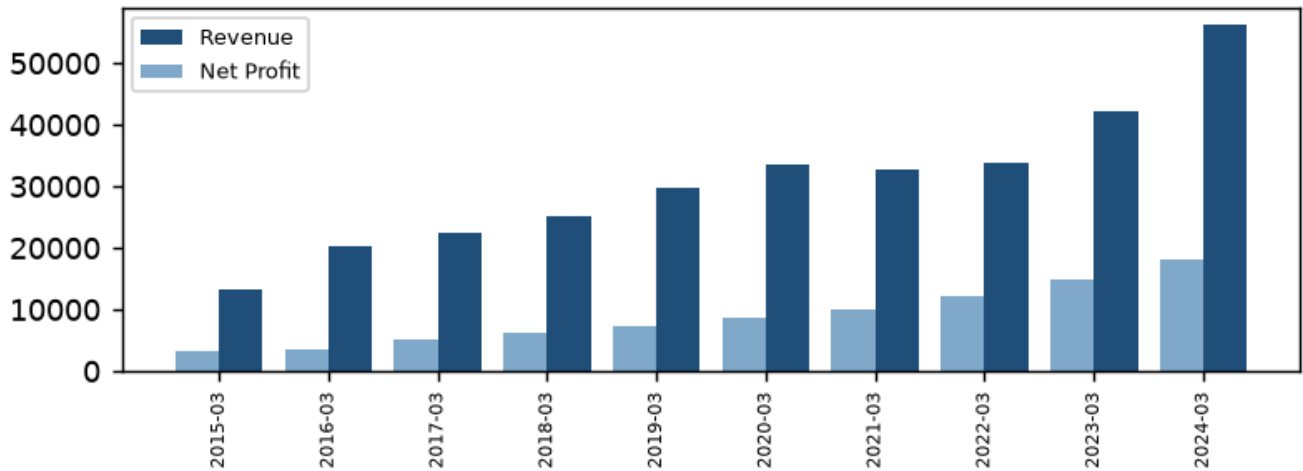


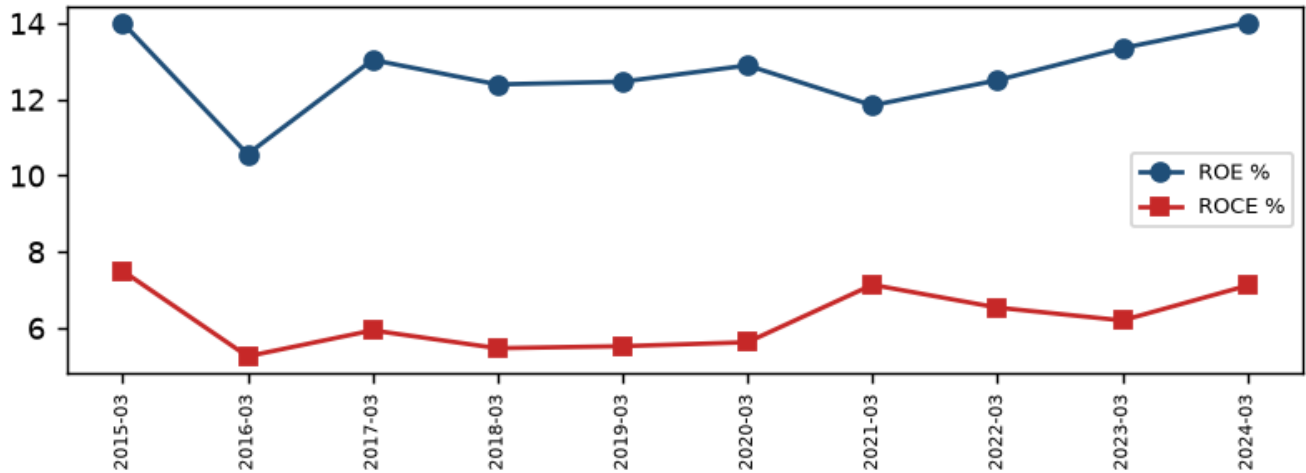
Kotak Mahindra Bank Ltd (KOTAKBANK)

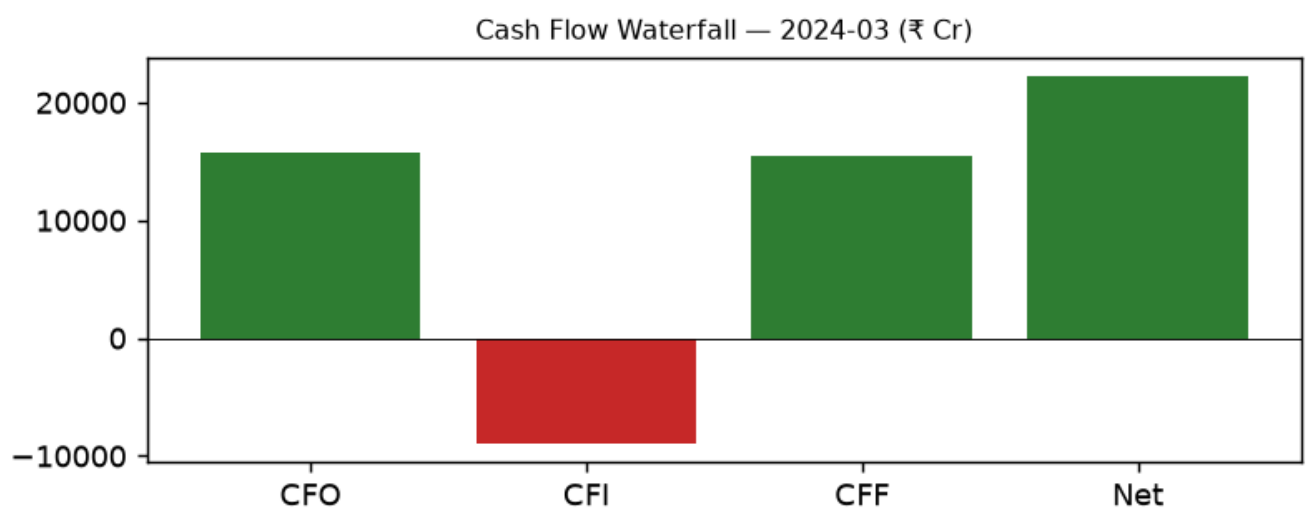
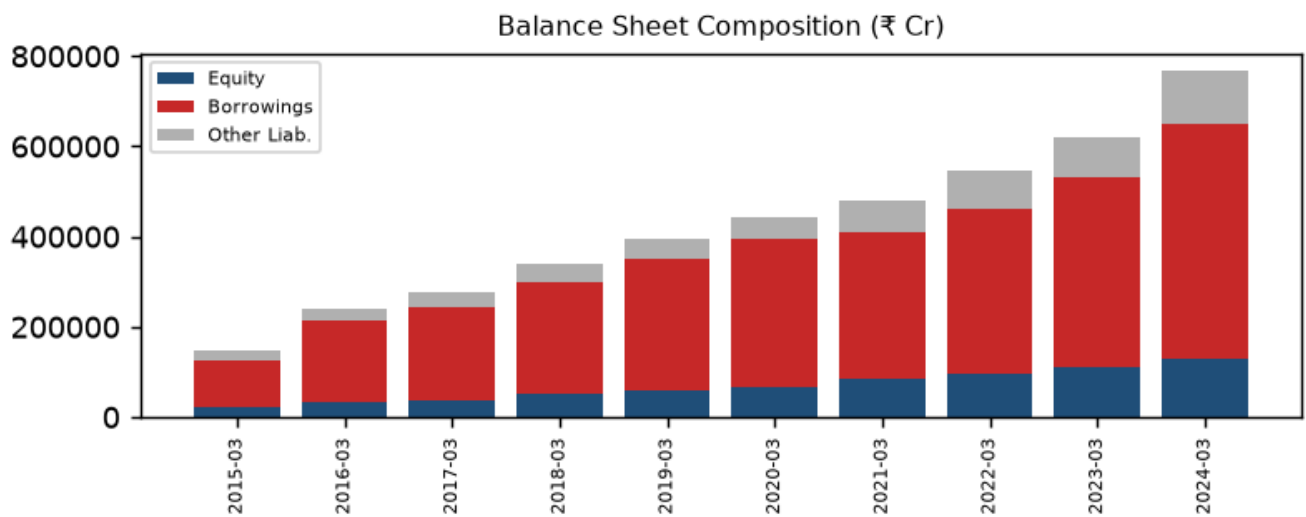
ROE	ROCE	Net Profit Margin
14.0%	7.1%	32.4%
D/E	Revenue CAGR 5yr	Free Cash Flow (Cr)
4.0	13.5%	6766.0

Revenue & Net Profit (₹ Cr)



ROE vs ROCE





Pros

- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- ✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: see cashflow_intelligence.xlsx for this company's pattern